

Mindteck Investor Presentation

FOURTH QUARTER & YEAR ENDED MARCH 2019

Safe Harbor

Certain statements in this release concerning our future growth prospects may be forward-looking statements, which involve a number of risks and uncertainties that could cause actual results to differ materially from those in such forward-looking statements. The risks and uncertainties relating to these statements include, but are not limited to, risks and uncertainties regarding fluctuations in earnings, our ability to manage growth, intense competition in IT services including those factors which may affect our cost advantage, wage increases, our ability to attract and retain highly skilled professionals, time and cost overruns on fixed-price, fixed-time frame contracts, client concentration, restrictions on immigration, our ability to manage our international operations, reduced demand for technology in our key focus areas, disruptions in telecommunication networks, our ability to successfully complete and integrate potential acquisitions, liability for damages on our service contracts, withdrawal of governmental fiscal incentives, political instability, legal restrictions on raising capital or acquiring companies outside India, unauthorized use of our intellectual property, and general economic conditions affecting our industry. Mindteck may, from time to time, make additional written and oral forward-looking statements, including our reports to shareholders. The company does not undertake to update any forward-looking statements that may be made from time to time by or on behalf of the company.

Financial Performance



Performance **Highlights**

Q4 2018-19:

- Revenue at ₹803.0 million (\$11.5 million), growth of 14.6% QoQ and 11.7% YoY.
- EBITDA at ₹22.2 million as against ₹(6.8) million in December 2018 & ₹(32.4) million in March 2018.
- Profit After Tax ("PAT") at ₹26.7 million as against ₹(12.0) million in December 2018 & ₹(79.0) million in March 2018.

FY 2018-19:

- Revenue at ₹2,994.1 million (\$42.8 million), growth of 0.9% as against the preceding year.
- EBITDA at ₹44.0 million as against ₹(3.5) million in the preceding year.
- PAT at ₹27.4 million as against ₹(56.5) million in the preceding year.

Performance Summary

SEQUENTIAL Q4 FY 19 Vs. Q3 FY 19

Amount in ₹ million

SL #	Particulars	Q4 19 (Audited)	Q3 19 (Unaudited)	Change %
1	Income:			
	a) Revenue	803.0	700.5	14.6%
	b) Other income	5.9	2.7	118.5%
	Total Income (a+b)	808.9	703.2	15.0%
2	Expenses:			
	a) Cost of hardware, software and technical sub-contractors	116.4	123.4	(5.7)%
	b) Employee benefits expense	484.4	496.6	(2.5)%
	c) Finance cost	(0.4)	3.6	(a)
	d) Depreciation and amortization	3.7	4.3	(14.0)%
	e) Other expenses	180.0	87.3	106.2%
	Total Expenses (a+b+c+d+e)	784.1	715.2	9.6%
3	Profit/ (Loss) Before Tax ("PBT") (1-2)	24.8	(12.0)	(a)
4	Tax expense	(1.9)	-	(b)
	Profit/ (Loss) After Tax ("PAT") (3-4)	26.7	(12.0)	(a)

Performance Summary

YoY Q4 FY 19 Vs. Q4 FY 18 (Audited)

Amount in ₹ million

SL #	Particulars	Q4 19	Q4 18	Change %
1	Income:			
	a) Revenue	803.0	719.1	11.7%
	b) Other income	5.9	6.2	(4.8)%
	Total Income (a+b)	808.9	725.3	11.5%
2	Expenses:			
	a) Cost of hardware, software and technical sub-contractors	116.4	112.5	3.5%
	b) Employee benefits expense	484.4	520.8	(7.0)%
	c) Finance cost	(0.4)	1.7	(a)
	d) Depreciation and amortization	3.7	3.8	(2.6)%
	e) Other expenses	180.0	118.2	52.3%
	Total Expenses (a+b+c+d+e)	784.1	757.0	3.6%
3	Profit/ (Loss) Before Tax and exceptional item ("PBT") (1-2)	24.8	(31.7)	(a)
4	Exceptional Item	-	-	-
5	Profit/ (Loss) Before Tax (3-4)	24.8	(31.7)	(a)
6	Tax expense	(1.9)	47.3	(b)
7	Profit/ (Loss) After Tax ("PAT") (5-6)	26.7	(79.0)	(a)

Performance Summary

FY 19 Vs. FY 18 (Audited)

Amount in ₹ million

SL #	Particulars	FY 2019	FY 2018	Change %
1	Income:			
	a) Revenue	2,994.1	2,968.4	0.9%
	b) Other income	28.5	20.8	37.0%
	Total Income (a+b)	3,022.6	2,989.2	1.1%
2	Expenses:			
	a) Cost of hardware, software and technical sub-contractors	479.3	536.9	(10.7)%
	b) Employee benefits expense	2,028.1	2,043.8	(0.8)%
	c) Finance cost	10.0	5.5	81.8%
	d) Depreciation and amortization	18.9	13.0	45.4%
	e) Other expenses	442.7	375.0	18.1%
	Total Expenses (a+b+c+d+e)	2,979.0	2,974.2	0.2%
3	Profit/ (Loss) Before Tax and exceptional item ("PBT") (1-2)	43.6	15.0	190.7%
4	Exceptional Item	-	16.2	(b)
5	Profit/ (Loss) Before Tax (3-4)	43.6	(1.2)	(a)
6	Tax expense	16.2	55.3	(b)
7	Profit/ (Loss) After Tax ("PAT") (5-6)	27.4	(56.5)	(a)

a) Since current/previous quarter is negative, the percentage change for the period is not computed.

b) The percentage change from comparable period is not computed.

Mindteck Fact Sheet



Fact Sheet

FINANCIAL PERFORMANCE HIGHLIGHT

In ₹ Million

Particulars		Q4 2019	Q3 2019	Q4 2018	Growth %		FY 19	FY 18	Growth %
					QoQ	YoY			
	Reveue	803.0	700.5	719.1	14.6%	11.7%	2,994.1	2,968.4	0.9%
	EBITDA	22.2	(6.8)	(32.4)	(a)	(a)	44.0	(3.5)	(a)
	PAT	26.7	(12.0)	(79.0)	(a)	(a)	27.4	(56.5)	(a)

In \$ Million

Particulars		Q4 2019	Q3 2019	Q4 2018	Growth %		FY 19	FY 18	Growth %
					QoQ	YoY			
	Reveue	11.5	10.0	11.2	14.38%	3.0%	42.8	46.0	(6.9)%
	EBITDA	0.3	(0.1)	(0.5)	(a)	(a)	0.6	(0.1)	(a)
	PAT	0.4	(0.2)	(1.2)	(a)	(a)	0.4	(0.9)	(a)

USD/INR

Exchange Rate		Q4 2019	Q3 2019	Q4 2018	FY 19	FY 18
	Average (P&L)	69.9	69.8	64.5	69.9	64.5
	Close (BS)	70.3	69.7	64.7	69.2	65.1

Fact Sheet

REVENUE METRICS

Geography		Q4 2019	Q3 2019	Q4 2018	FY 19	FY 18
	USA	62%	71%	70%	69%	72%
	IMEA	18%	6%	7%	9%	6%
	Europe	8%	10%	8%	9%	7%
	APAC	12%	13%	14%	13%	14%

Delivery Centers		Q4 2019	Q3 2019	Q4 2018	FY 19	FY 18
	USA	62%	71%	70%	69%	72%
	India	16%	4%	6%	7%	4%
	Singapore	7%	7%	8%	7%	9%
	Malaysia	5%	6%	6%	6%	5%
	UK	6%	6%	7%	6%	6%
	Germany	3%	4%	2%	2%	1%
	Baharin	2%	2%	1%	2%	2%

Project Type		Q4 2019	Q3 2019	Q4 2018	FY 19	FY 18
	Time & Material	85%	99%	96%	95%	98%
	Fixed	15%	1%	4%	5%	2%

Services		Q4 2019	Q3 2019	Q4 2018	FY 19	FY 18
	Managed Services ("MS")	43%	32%	33%	35%	29%
	Professional Services("PS")	57%	68%	67%	65%	71%

Fact Sheet

REVENUE METRICS

Revenue Mix - Efforts		Q4 2019	Q3 2019	Q4 2018	FY 19	FY 18
	Onsite	57%	67%	65%	65%	72%
	Offshore	43%	33%	35%	35%	28%

Revenue Mix - Business Offerings		Q4 2019	Q3 2019	Q4 2018	FY 19	FY 18
	Talent Management	50%	60%	58%	57%	62%
	Product Engineering	21%	24%	25%	24%	24%
	Information Technology Services	27%	15%	16%	18%	14%
	Smart City Services	1%	1%	1%	1%	0%

CLIENT METRICS

Clients		Q4 2019	Q3 2019	Q4 2018	FY 19	FY 18
	Top 5	57%	63%	62%	57%	72%
	Top 10	76%	79%	75%	74%	80%

Fact Sheet

CLIENT METRICS

Other details		Q4 2019	Q3 2019	Q4 2018	FY 19	FY 18
	No of Clients	89	83	87	114	115
	1 Mn +	9	3	3	9	3
	5 Mn +	2	2	2	2	2

EMPLOYEE METRICS

PEOPLE		Q4 2019	Q3 2019	Q4 2018	FY 19	FY 18
	<i>Total Headcount</i>	<i>1,026</i>	<i>1,035</i>	<i>1,059</i>	<i>1,026</i>	<i>1,052</i>
	Technical	845	845	876	845	882
	Support	181	190	183	181	170



**If you have any questions, or need assistance,
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